Vistra Corp (VST)

Contracted AI Power

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*Contracted AI Power. Vistra is the purest play on data center electricity demand: 1,200 MW AWS PPA (Comanche Peak), 2,609 MW Meta PPAs (PJM nuclear), and the Helix JV with KKR and NVIDIA. Customers are contracting before regulations are settled [8-K Q2 2026]. Execution Validated. Q2 adjusted EBITDA of $1.767B (+31% YoY), 97% fleet availability through record Texas heat, 2026 guidance at/above midpoint. The operations support the narrative [8-K Q2 2026]. Valuation Reset. At $152.02 [Mkt 16-Oct-26], the stock is 27% below its $219.82 high despite no business deterioration. Our $167.47 DCF base implies 10% upside with a Buy rating; PEG of 0.43 suggests the market overcorrected. Our framework screens it as a **Buy** with a $169.59 blended target, 12% above the current price.*

BUY	$169.59	+12%	$152.02
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Execution Validated. Q2 adjusted EBITDA of $1.767B (+31% YoY), 97% fleet availability through record Texas heat, 2026 guidance at/above midpoint. The operations support the narrative [8-K Q2 2026].

Valuation Reset. At $152.02 [Mkt 16-Oct-26], the stock is 27% below its $219.82 high despite no business deterioration. Our $167.47 DCF base implies 10% upside with a Buy rating; PEG of 0.43 suggests the market overcorrected.

$1.767B	$1.80	$6.8-7.6B	$3.9-4.7B	97%+	$17.7B
ADJ. EBITDA (Q2 2026)	EPS (Q2 2026)	2026 ADJ. EBITDA GUIDE	2026 ADJ. FCF GUIDE	FLEET AVAILABILITY	REVENUE (FY25)

The moat is structural

Nuclear PPAs: AWS 1,200 MW (Comanche Peak), Meta 2,609 MW (PJM fleet)

Three scenarios make the valuation range explicit

The DCF values Vistra Corp across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$101.60**	-33%
Base	50%	**$167.47**	+10%
Bull	25%	**$241.84**	+59%

Bear ($101.60, -33%): Growth disappoints and multiples compress; the $101.60 target marks the downside case.

Bull ($241.84, +59%): Execution compounds and the multiple rerates; the $241.84 target marks the upside case.

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The probability-blended target implies +12% upside

Blended target: $169.59 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +12% upside from the $152.02 reference price.

$169.59

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 14.7x [Mkt 16-Oct-26] DCF Base $167.47 vs $152.02 spot [Mkt 16-Oct-26] PEG 0.43 [Mkt 16-Oct-26] DCF implies 10% upside with a Buy rating. PEG of 0.43 is deeply cheap for the growth profile.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $169.59 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Nuclear PPAs: AWS 1,200 MW (Comanche Peak), Meta 2,609 MW (PJM fleet) [8-K Q2 2026]

Helix Digital Infrastructure JV with KKR, NVIDIA; up to $1B commitment [8-K Q2 2026]

4-6% annual ERCOT load growth guided through 2030 on data centers [8-K Q2 2026]

What to monitor

Nov 2026. Q3 2026 Earnings: data center PPA announcements are the watch item.

2027. Comanche Peak late-2027 project timeline; Texas data center audits could pause reviews.

2027-2028. Helix Digital Infrastructure JV deployment with KKR/NVIDIA.

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$17.7B	$5.8B	$944M

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2024	$17.2B	$7.5B	$2.7B
2023	$14.8B	$5.5B	$1.5B
2022	$13.7B	$1.7B	$-1.2B

Key risks

Leverage. Debt/equity of 3.93x and current ratio of 0.78x leave little room for error in a downturn. [10-K FY25]

Merchant Exposure. ERCOT pricing was soft in Q2; merchant exposure means earnings volatility on power prices. [8-K Q2 2026]

Nuclear Operations. Nuclear operations carry regulatory and operational tail risk; any extended outage is material. [10-K FY25]

Investment view

New large-scale PPA announcements would lift Growth and Catalysts. ERCOT price weakness or leverage concerns would cut Valuation.

Buy. The $169.59 blended target implies +12% upside, balancing the $101.60 / $167.47 / $241.84 Bear / Base / Bull targets.

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4-6% annual ERCOT load growth guided through 2030 on data centers [8-K Q2 2026]

Upcoming catalysts

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